



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
980 9th Street, Suite 500
Sacramento, CA 95814
Phone: 916-324-8176 | Fax: 916-255-5241
www.DMHC.ca.gov

March 27, 2026

VIA ELECTRONIC MAIL

Karen Choate
Blue Cross of California
1121 L Street, Suite 500
Sacramento, CA 95814

Re: Proposed Contract Termination with Kern Medical Center
Block Transfer Filing No. 2026-HOSP-283
Filed on March 26 2026

Dear Ms. Choate:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Kern Medical Center** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **April 25, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. The Enrollee Transfer Notice (ETN) is missing from the Block Transfer submission. Please provide the ETN for Department review.
2. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.
3. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.

Protecting the Health Care Rights of More Than 30.2 Million Californians
Contact the DMHC Help Center at 1-888-466-2219 or www.DMHC.ca.gov

4. Please confirm whether the hospital termination is part of a health system termination. If yes, please confirm the health system and whether the contract is a stand-alone contract.
5. Please confirm whether the contract termination between the Plan and the Terminating Hospital impacts Point of Service (POS) enrollees.
6. The Plan indicates that there are zero HMO enrollees impacted. However, the Plan also reports 10 HMO bed days across 4 admissions. Please clarify how HMO bed days and admissions are reported when there are no impacted enrollees.
7. Please confirm if the Terminating Hospital is or provides any of the following:
 - a. Tertiary care, quaternary care, cancer, burn or other high-level specialty services,
 - b. Transplant services, and if so,
 - i. What types of transplants,
 - ii. Whether the contract termination includes the transplant contract,
 - iii. The termination date of the transplant contract if separate from the hospital contract.
 - c. Recognized or designated as a hospital that provides other high-level specialty services, such as a Center of Excellence for Bariatric Surgery, Blue Distinction Center for Spine Surgery, etc., and if so,
 - i. Identify the distinguished services.
8. The Plan's PPO line of business is licensed by the Department. Please confirm the following:
 - a. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15-mile radius of the Terminating Hospital.
9. For each Alternate Hospital, please summarize or confirm the following:
 - a. The Plan contacted the hospital regarding the Block Transfer,
 - b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer
10. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:
 - a. Any out-patient or in-patient services,

- b. Any tertiary care, quaternary care, cancer, burn or other high-level specialty services,
- c. Any transplant services.

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.

11. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.
12. On the Block Transfer Filing form, when asked, "Is the Terminating Provider Group part of a "narrow network" product offered by the Plan?", the Plan answered, "yes" and listed Pathway EPO Exchange Network. The Plan indicated Pathway EPO Exchange Network has zero enrollees in the product. Please confirm there are zero narrow network enrollees with Pathway EPO Exchange Network who are affected by this Block Transfer.
13. Please affirm that the Alternate Hospitals for the Plan's Narrow Networks meet the Knox-Keene Act's geographic access standards and/or Department approved alternative access standards.

Please submit the Plan's response by **April 3, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,



Stacie Litovchenko
Analyst II
Office of Plan Monitoring